

**Before the
Federal Maritime Commission**

Docket No. 23-02

BED BATH & BEYOND INC.

v.

**ORIENT OVERSEAS CONTAINER LINE LIMITED
AND OOCL (EUROPE) LIMITED**

**RESPONDENT'S REPLY TO COMPLAINANT'S MOTION
FOR LEAVE TO AMEND COMPLAINT**

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited ("Respondents" or "OOCL") hereby respond to the Motion ("Motion") of Complainant Bed Bath & Beyond, Inc. ("Complainant" or "BBBY") to amend the complaint in this matter ("Complaint") to add an additional claim of violation under "former 46 U.S. Code Section 41104(a)(3),¹ now codified at 46 U.S. Code Section 41102(d)."²

¹ For reference, we note OSRA22 Subsec. (a)(3), Pub. L. 117-146, §7(a)(1)(B), added par. (3) and struck out former par. (3) which had read as follows: "retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason..."

² 46 U.S.C. 41102(d) currently reads, "(d) Retaliation and Other Discriminatory Actions.—A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not—(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or (2) resort to any other unfair or unjustly discriminatory action for—(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has—(i) patronized another carrier; or(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or (B) any other reason."

A motion to amend may be denied for undue delay; bad faith or dilatory motive on the part of the movant; repeated failure to cure deficiencies by amendments previously allowed; undue prejudice to the opposing party by virtue of allowance of the amendment, or futility of amendment. *Foman v. Davis*, 371 U.S. 178, 182 (1962). We show below that permission to amend should not be granted because (i) any such amendment would be futile for failure to state a claim, (ii) such amendment would broaden the proceeding, requiring an entirely new restart, including a new answer and new discovery, of a matter that has already been before the Presiding Officer for 14 months, and (iii) unduly prejudice Respondents in the process by allowing new allegations of misconduct at the tail end of the discovery period. We discuss these reasons, in turn, below.

1. The Motion Must be Denied as Futile

OOCL recognizes the flexible approach taken by the Commission and the courts in permitting the liberal amendment of claims. But both also impose limits. At the Commission, as in the federal courts, leave to amend will not be granted where the amendment would be futile. See, e.g., *Ovchinnikov v. Hitrinov*, 6 F.M.C.2d 106, 121 (“dismissal with prejudice is appropriate because any amendment to the complaint would be futile”); *Logfret, Inc. v. Kirsha, B.V.*, 1 FMC 2d, 419, 437 (I.D. 2019) (administratively final Oct. 21, 2019); *In Re: Vehicle Carrier Services*, 2018 WL 2214682, at *36, (I.D. 2018); *MAVL Capital, Inc. v. MTL*, 2017 WL 343693, at *23 (I.D. 2017); *Baltic Auto Shipping, Inc. v. Hitrinov*, 2015 WL 5573353, at *45 (I.D. 2015); *Santa Fe Discount Cruise Parking, Inc. v. The Board Of Trustees Of The Galveston*

Wharves, 2014 WL 7404584, at *12 (ALJ 2014); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, 2014 WL 5824274, at *9, 11, 13, 16 (ALJ 2014).³

One recognized basis for finding futility is that the amended complaint would be subject to a successful motion to dismiss. See *MAVL Capital*, supra, 2017 WL 343693, at *23 (“Courts may deny a motion to amend a complaint as futile ... if the proposed claim would not survive a motion to dismiss” (quoting from *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1099 (D.C. Cir. 1996)); *Cockrell v. Sparks*, 510 F.3d 1307, 1310 (11th Cir. 2007) (*per curiam*) (“Leave to amend a complaint is futile when the complaint as amended would still be properly dismissed or be immediately subject to summary judgment for the defendant”).

BBBY does not cite a single authority supporting the implicit argument that its proposed new claim would survive a motion to dismiss. More importantly, it fails to identify, much less discuss or distinguish, directly adverse Commission case law. We do not know if that is a matter of insufficient research (which would seem contrary to FMC Rule 502.6(a)). In any event, the implicit claim is easily repelled, including by reference to a decision made by the Presiding Officer.

In *OJ Commerce, LLC v. Hamburg Sud*, Docket 21-11, 6 FMC 2d 165, 189-91 (I.D. 2023)(emphasis added), cited elsewhere by BBBY, the Presiding Officer explained:

“Section 41104(a)(3) states that a common carrier may not retaliate against a shipper “because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(a)(3) (emphasis added). The Commission described this type of protected activity as “patronizing other

³ Cases under the federal rules reach the same conclusion. See, e.g., *Virtue v. International Brotherhood of Teamsters Retirement & Family Protection Plan*, 893 F. Supp. 2d 46, 47 (D.D.C. 2012) (futility of amendment is valid basis for denying leave to amend). Denial of a motion to amend on futility grounds is designed to prevent the waste of resources of both the court and the parties. *Frederick v. Michigan Department of Corrections*, 2012 WL 1079958 at *6 (E.D. Mich. 2012); *Mizzaro v. Home Depot, Inc.*, 544 F.3d 1230, 1255 (11th Cir. 2008).

carriers, filing a complaint, *or other activities of the same class.*” Statement on Retaliation, 3 F.M.C.2d at 209. The Commission has indicated that “protected activity includes not only filing a complaint with the Commission but also participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures.” Statement on Retaliation, 3 F.M.C.2d at 201.

Therefore, the primary issue here is whether under these facts, the “for any other reason” statutory language includes threats to file a complaint with the FMC. . . . [T]his is a novel issue and the parties have not identified any case law that addresses whether or not “any other reason” in the Shipping Act’s anti-retaliation provision applies to threats to file an FMC complaint. . . . The statutory language, by including the phrase “or for any other reason” explicitly applies this section beyond cases where the shipper has patronized another carrier or has filed a complaint. The extent of that expansion *is not unlimited, however*, and the closeness of the alleged misconduct to the other items listed is relevant. Here, the action alleged to constitute an “other reason” is the threat to file a complaint with the Commission. This conduct is closely related to the listed violations without being one of the listed violations. It is reasonable to anticipate that threats of prohibited conduct would be encompassed under the “for any other reason” language, and so finding is consistent with the Commissions’ Policy Statement regarding interpreting the anti-retaliation provision broadly.”

Judge Crovella has reached a similar result, while expressing some doubt that a mere threat to file a complaint is sufficient to trigger a statutory violation. In *20230930-DK-Butterfly-1, Inc. v. MSC*, 2024 WL 1299768 (ALJ 2024),⁴ she dismissed a retaliation claim, by Complainant here, stating that, in order for a retaliation claim to survive a motion to dismiss, a complaint must include sufficient allegations that the alleged “retaliation” was in response to the shipper bringing a matter to the attention of the Commission, whether through a formal complaint or less formal means, such as a charge complaint or providing information in connection with an FMC proceeding. In reaching this holding, the Presiding Officer recognized and reaffirmed FMC precedent that the term “for any other reason” must be read *in pari materia*

⁴ Complainant’s failure to address that case is surprising, given that the counsel for the complainant there is the same as Counsel for Complainant here. Although ignorance is generally no excuse, Complainant cannot even plead that here, given that it has actual knowledge. This is surely relevant to FMC Rule FMC 502.6(a).

with the specifically referenced reasons of patronizing another carrier or filing a complaint. Thus, a claim of “retaliation” not relating to use of another carrier must include allegations that complainant brought its complaints to the attention of the FMC or at the very least threatened to do so. *Id.* at 5-6.

There is nothing in the proposed amendment to the effect that OOCL retaliated against BBY because BBY did, or even threatened to, file a complaint or otherwise bring actions by OOCL to the attention of the FMC. Accordingly, any such amendment would be subject to immediate dismissal, so is better denied as futile at the outset.

2. The Motion Should be Denied on Practical Grounds

Even if the proposed amendment were not fatally defective, it should still be denied on the basis of delay and prejudice. As the Presiding Officer has explained when denying a motion to amend:

“Delay is ‘undue’ when an unwarranted burden is placed on the court or when the requesting party has had previous opportunities to amend. ‘Undue delay is delay that prejudices the nonmoving party or imposes unwarranted burdens on the court.’ . . .

Moreover, the amended complaint may broaden the issues and lead to additional motions practice or the need to reopen discovery. This could further delay the proceeding and prejudice opposing parties. *Seafair USA LLC v. Sterling Container Line Ltd.*, 2023 WL 4418617 (Order on Motion to Amend the Complaint, ALJ 2023)(citations omitted).

OOCL understands that this is a significant matter, given the novel nature of BBY’s allegations and the amount of reparations claimed, and so requires more than the usual amount of time. Toward that end, OOCL has recently joined in a motion with BBY for a further extension of deadlines. But the additional delay associated with an

amendment of the Complaint (especially a non-meritorious amendment) would take this into a whole different league.⁵

BBBY admits that its proposed amendment would broaden the issues, even though it tries to minimize the degree. The filing of a new Complaint would under the FMC require an opportunity to file a new Answer, and potentially new affirmative defenses, as well as address the new allegations being added and old allegations being removed. BBBY suggests that this could all be accommodated within the existing discovery schedule, but that is wishful thinking. Although many of the relevant documents would be in OOCL's possession, it would still need to reset its discovery strategy, seek additional documents potentially relevant to BBBY's claims and identify new deponents, some of which might not be readily available by this point.

An amended complaint would also engender additional motion practice. As discussed above, OOCL would certainly file a motion to dismiss for failure to state a claim. Further, the date of the amendment would set a new date for application of the Shipping Act statute of limitations for the new claim (BBBY does not, and could not, suggest that it dates back), so there would be additional motion practice as to what alleged acts or omissions come within the limitations period.

⁵ This proceeding was initiated by the service of the original Complaint on April 27, 2023. The Commission's once-extended deadline for the Initial Decision is now February 28, 2025. The Administrative Procedure Act requires the Commission to rule within a reasonable time: "With due regard for the convenience and necessity of the parties or their representatives and within a reasonable time, each agency shall proceed to conclude a matter presented to it." 5 U.S.C. § 555. See generally, *Dastagir v. Blinken*, 557 F. Supp. 3d 160, 164 (D.D.C. 2021)(citing *Telecomms. Rsch. & Action Ctr. v. FCC*, 750 F.2d 70, 80 (D.C. Cir. 1984)).

We recognize that here, unlike *Seafair*, discovery is not yet over, and so it is technically possible to extend discovery by six to nine months to limit the prejudice to OOCL. But there is no reason to do so at this late date. BBY threatens to file a new complaint against OOCL. For the reasons discussed above, such a complaint would be frivolous and subject to dismissal. And it would help put the limitations period into sharper focus. Moreover, discovery already made in this case would also be available with respect to the new matter. The potential for a new complaint is thus no reason to greatly extend this proceeding.

Dated: July 15, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 15th day of July, 2024, a true and correct copy of the foregoing **RESPONDENT'S REPLY TO COMPLAINANT'S MOTION FOR LEAVE TO AMEND COMPLAINT** was served by email on all counsel of record.

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